

Monarch Cybersecurity Group

600 Secure Lane, McLean, VA 22102 | Confidential Internal Document

LIQUIDITY RISK MANAGEMENT REPORT

Period Ending: March 05, 2025 | Report ID: RPT-CRIT-7337268

EXECUTIVE SUMMARY

The company has missed its quarterly revenue target by 11%, driven by deal slippage in the enterprise segment and competitive pricing pressure. EBITDA margin has contracted due to elevated headcount costs and unplanned infrastructure spending. The Board has requested a full operational review and cost rationalisation plan by end of quarter.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	130.68	146.83	-11%	At Risk
EBITDA Margin (%)	20.8	26.2	-5.4 pts	Below Target
Customer Retention (%)	72.0	80.1	-8.1%	Below Target
New Customer Acquisition	79	200	-121	CRITICAL
Employee Satisfaction	61/100	91/100	-30 pts	Below Target

RECOMMENDED CORRECTIVE ACTIONS

- Engage a Tier-1 management consulting firm to conduct a 60-day operational review and present a prioritised cost-reduction roadmap to the Board by the end of Q3.
- Implement an immediate hiring freeze and discretionary spend moratorium pending completion of the operational review. CFO to report weekly cash position to the Board.
- Initiate a structured outreach programme to top 20 at-risk accounts with executive sponsorship and tailored retention offers, targeting a churn reduction of at least 15% within 90 days.
- Commission an independent valuation of all non-core business units to identify potential divestiture candidates that could generate liquidity of \$15–25M within 6 months.
- Convene an emergency all-hands leadership meeting within 5 business days to communicate the performance shortfall, outline the recovery plan, and address workforce concerns.

Prepared by: Astrid Lindqvist, Head of Internal Audit
Approved by: _____ | Date: March 09, 2025

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